

Introduction to Business

Role of Business

Module Learning Outcomes

Discuss the role of business in society, the primary functions within a business, and external forces that affect business activities

- 1.1: Explain the concept of business
- 1.2: Distinguish between for-profit and nonprofit businesses
- 1.3: List and explain the four factors of production required to sustain a business
- 1.4: Identify the primary functional areas within a business and describe their contribution to the organization
- 1.5: Identify business stakeholders and describe their relationship with business organizations
- 1.6: Identify the external forces that shape the business environment

What Is Business?

Learning Outcomes: What Is Business?

1.1: Explain the concept of business

- 1.1.1: Define the term business
- 1.1.2: Distinguish between profit, loss, and value
- 1.1.3: Distinguish between goods and services





Goods and Services

Examples of **goods** are tangible items such as cars, televisions, or soda.

Examples of **services** (action or work performed for monetary compensation) are haircuts, hotel stays, or roller-coaster rides.

Businesses can generate **profits** from the sale of goods and/or services

Retailers sell goods



Restaurants provide a service



Profit, Loss, and Value

Profit is the amount of revenue or income that a business owner retains after paying all the expenses associated with the operation of the business.

If the expenses of the business exceed the revenue or income generated from operations, then the business will suffer a **loss**. Businesses that suffer extraordinary losses during a short period of time or slowly see their profits decline may end up closing or filing for bankruptcy.

When businesses talk about **value** they are referring to the relationship between the price a customer pays for the good or service and the perceived benefits the customer receives in exchange for their time or money.

Practice Question 1

How do you define “profit”?

A. when revenue exceeds costs
B. when costs exceed revenue
C. when revenue achieves planned target
D. when the bottom line is in the red



Practice Question 2

How do you define “loss”?

A. when costs fall lower than projection
B. when the bottom line is in the black
C. when revenue exceeds costs
D. when costs exceed revenue



Practice Question 3

How do you define “value”?

A. when the perception of competition is too expensive
B. the perceived benefits by a customer of price to the time and money spent
C. when market research establishes the floor price
D. when a customer purchases for the lowest price in town



For-Profit vs. Nonprofit

Learning Outcomes: For-Profit vs. Nonprofit

1.2: Distinguish between for-profit and nonprofit businesses

- 1.2.1: Explain the purpose of for-profit businesses
- 1.2.2: Explain the purpose of nonprofit businesses
- 1.2.3: Distinguish between for-profit and nonprofit businesses

Nonprofit Businesses

A nonprofit or not-for-profit business is one that provides goods and services to consumers, but its primary goal is no to return profit to the owners of the business (as is the case with a for-profit business).

Instead, it uses those profits to provide a public service, advance a cause, or assist others.

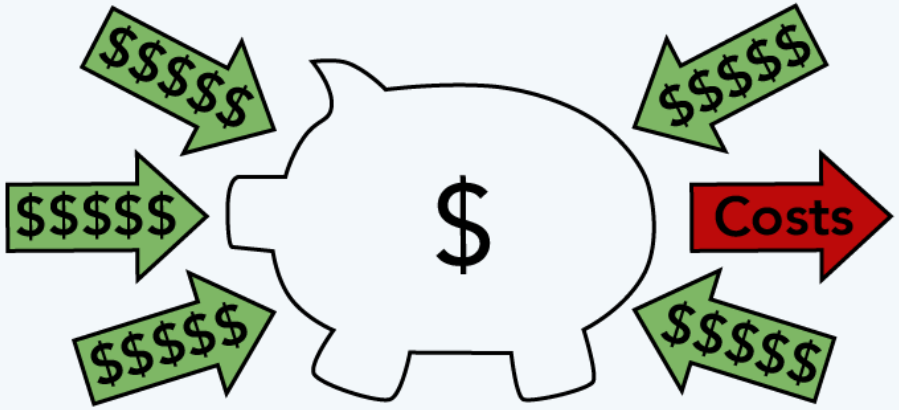
Examples

- American Red Cross
- SPCA
- American Cancer Society

For-profit vs. Non-profit Businesses

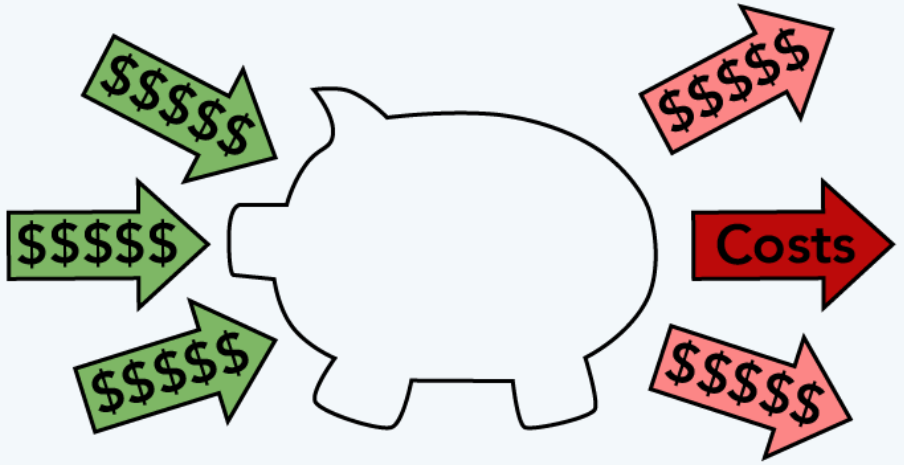
For-Profit Business

- Provides goods or services to consumers for the purpose of making a profit



Non-Profit Business

- Provides goods or services in order to generate income that furthers its mission



Comparing For-Profits and Nonprofits

For-Profit	**Not-for-Profit/Nonprofit**
Incurs expenses for operations	Incurs expenses for operations
Provides goods and services for customers	Provides goods and services for customers
Generates revenues from sales	Generates revenues from sales **and/or contributions**
Owned by individuals, partners, or shareholders	**Operated by board of directors, trustees, or managers**
Profit is used to pay owners, partners, and shareholders	Profit is used to further the mission of the organization
Pays salaries to employees and managers	Pays salaries to to employees and managers
Profits are subject to taxation by local, state, and federal authorities	**Profits are NOT subject to taxation by local, state, and federal authorities**

Class Discussion: Profit or Mission?

Do you think that for-profit businesses can be mission driven?

Do you think that non-profit businesses can serve themselves rather than their stated mission?

Factors of Production

Learning Outcomes: Factors of Production

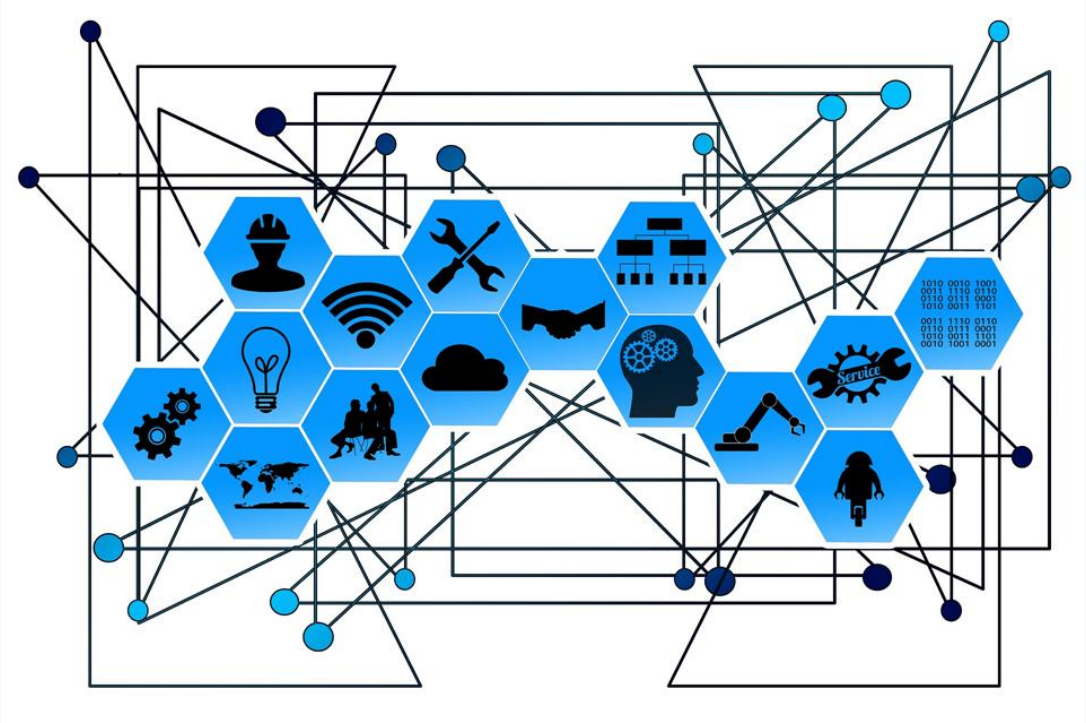
1.3: List and explain the four factors of production required to sustain a business

- 1.3.1: List the four factors of production
- 1.3.2: Explain the four factors of production

Resources and Factors of Production

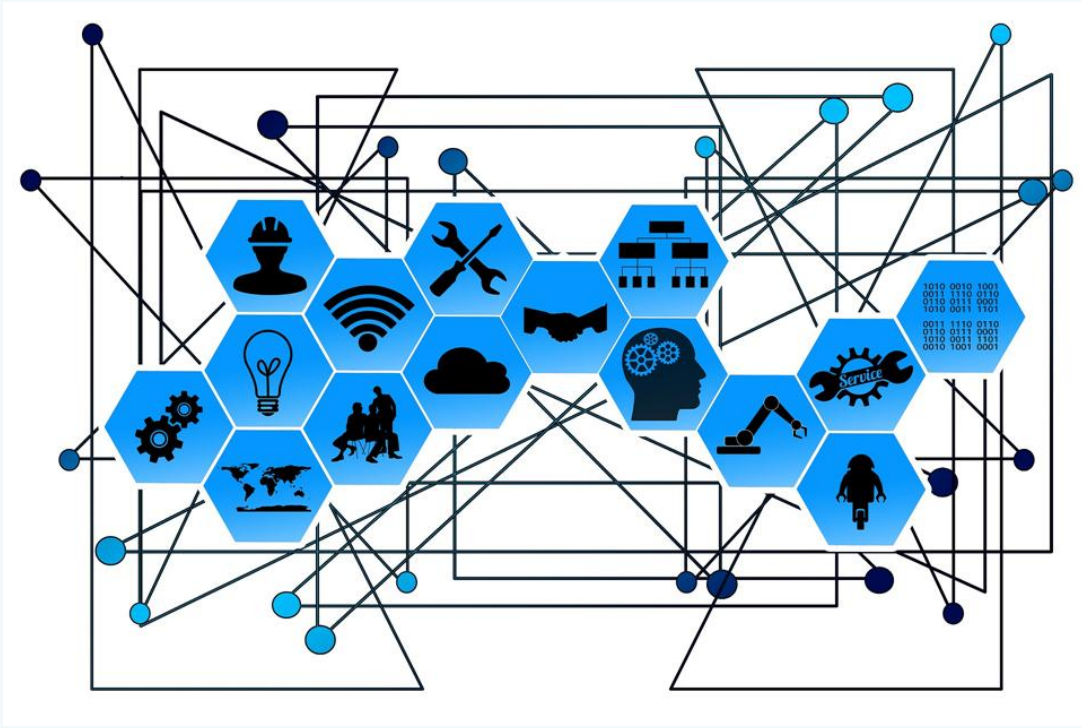
Resources are the **inputs** used to produce the **outputs** (goods and/or services).

Resources are also called **factors of production**.



Understanding Factors of Production

- **Natural Resources:** any natural resource, land, plants, livestock, wind, sun, water, etc.
- **Labor:** any human service—physical or intellectual. Also referred to as *human capital*.
- **Capital:** anything that's manufactured in order to be used in the production of goods and services—for example, equipment.
- **Entrepreneurship**: the ability to recognize a profit opportunity, organize the other factors of production, and accept risk.



Factors of Production: Baking a Cake

- **Natural resources:** Wind harnessed to produce electricity
- **Labor:** The baker's labor, creativity, and skills
- **Capital:** Ovens, cake pans, and ingredients
- **Entrepreneurship:** Individual or bakery



Functional Areas

Learning Outcomes: Functional Areas

1.4: Identify the primary functional areas within a business and describe their contribution to the organization

- 1.4.1: Identify the primary functional areas within a business
- 1.4.2: Identify key people and explain the activities within each functional area

Understanding Functional Areas

Functional Area	Functions
Management	Plans, organizes, controls, leads
Operations	Transforms resources into products
Marketing/Sales	Works to identify and satisfy customer needs
Finance	Plans, obtains, and manages company funds
Research and Development	Provides knowledge and ideas that help a company keep up and ahead of the competition

Management

The primary role of managers in business is to supervise other people's performance. Most management activities fall into the following categories:

- **Planning**: Setting long-term and short-term goals for the business, as well as short term strategies needed to execute against those goals.
- **Organizing**: Organizing the operations of a business in the most efficient way, enabling the business to us its resources effectively.
- **Controlling**: When people or processes stray from the path, managers are often the first ones to notice and take corrective action.
- **Leading**: The manager may lead work teams or groups through a new process of the development of a new product. The manager may also be seen as a leader of the organization when it interacts with the community, customers, and suppliers.

Operations

Operations are where inputs (factors of production) are converted to outputs (goods and services).

Operations is the heart of a business, pumping out goods and services in a quantity and of a quality that meets the needs of customers.

The **operations manager** is responsible for overseeing the day-to-day business operations, which can include ordering raw materials or scheduling workers to produce tangible goods.

Marketing

Marketing identifies customers' needs and designs products and services that meet those needs.

The marketing function includes:

- Promoting goods and services
- Determining how the goods and services will be delivered
- Developing a pricing strategy to capture market share while remaining competitive
- Building and overseeing businesses' Internet presence

Finance

Finance involves planning for, obtaining, and managing a company's funds.

Finance managers plan for both short- and long-term financial capital needs and analyze the impact that borrowing will have on the financial well-being of a business.

The finance department answer questions about how funds should be raised, the long-term cost of borrowing funds, and the implications of financing decisions for the long-term health of the business.

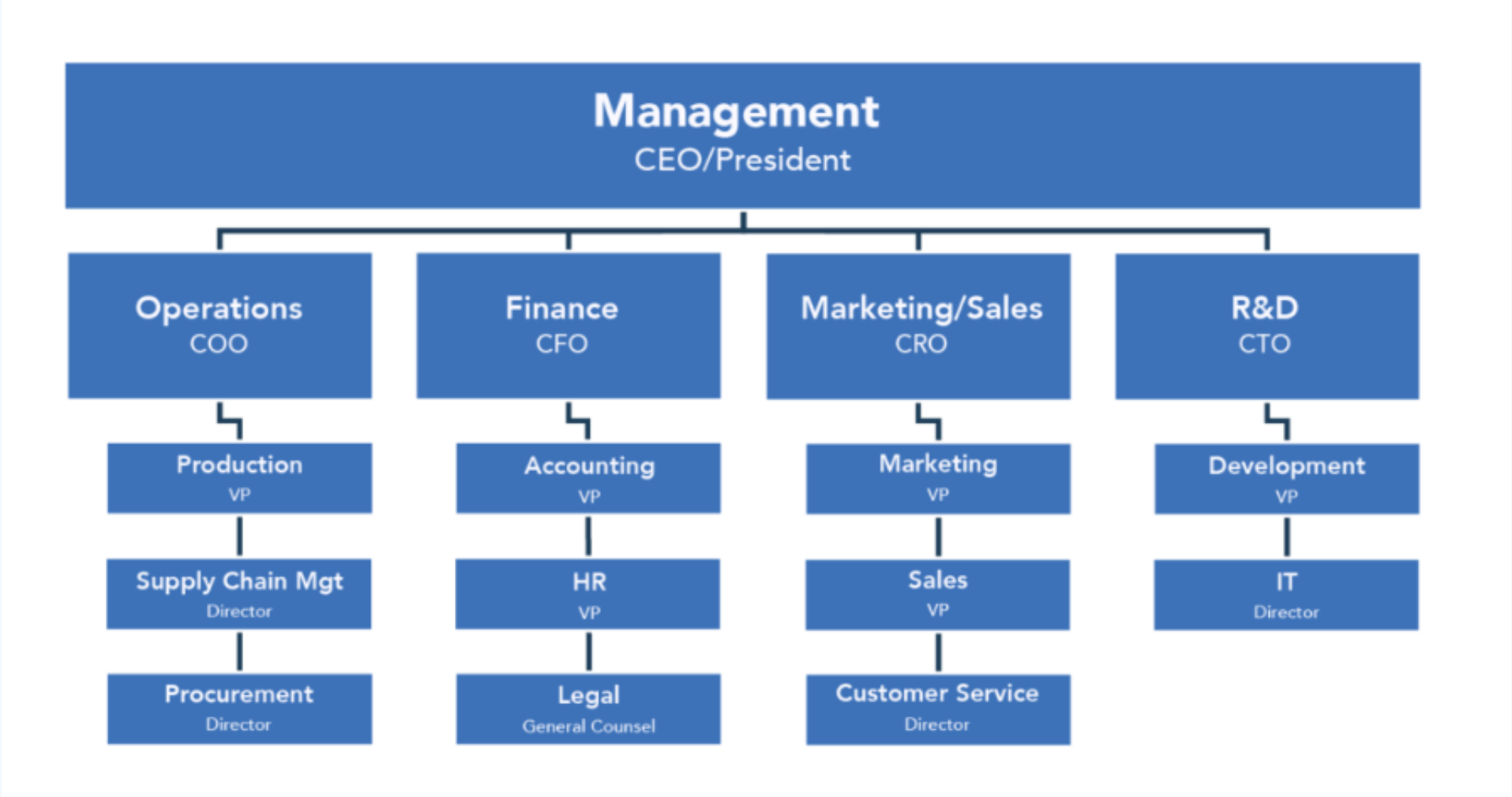
Accounting is a crucial part of the Finance functional area. Accountants provide managers with information needed to make decisions about the allocation of company resources.

Research and Development (R&D)

Research and Development is the lifeblood of manufacturing businesses. R&D is staffed with scientists, thought-leaders, subject-matter experts, and industry analysts striving to provide the organization with knowledge and ideas to keep up and ahead of the competition.

R&D is led by the Chief Technology Officer (CTO) who manages a Development VP or similar title depending on what technology products are being produced.

Key People Within Functional Areas



Practice Question 4

Which functional area of a business is responsible for converting the factors of production into goods and services?

A. Management

B. Operations

C. Marketing / Sales

D. Finance







Practice Question 5

Sea-Worthy is an ocean shipping company. The company decided to develop their own internal ERP (Enterprise Resource Management) system since none of the existing commercial packages met the specific needs of their unique business segment. Halfway into development by their IT department, the company came to the realization that this system could be licensed to their competitors to offset their development cost and fund future enhancements. Which functional area of the company would be responsible for creating revenue from this internal system?

A. Marketing

B. Operations

C. Finance

D. R&D

Stakeholders

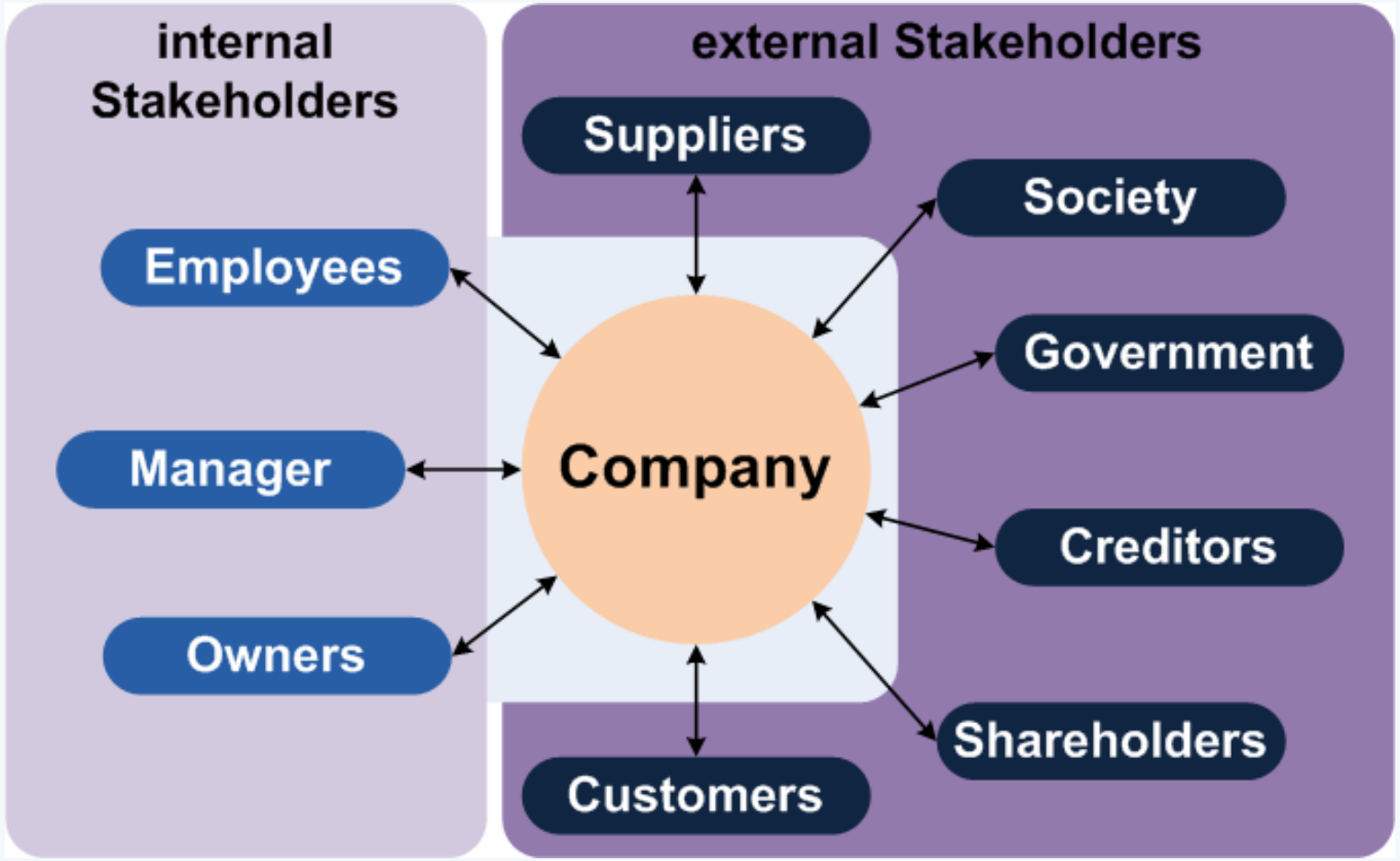
Learning Outcomes: Stakeholders

1.5: Identify business stakeholders and describe their relationship with business organizations

- 1.5.1: Define internal and external stakeholder
- 1.5.2: Describe stakeholders' relationship with business organizations

Business Stakeholders

A **stakeholder** is an individual or a group that has a legitimate interest in a company, organization, or business.



Internal Stakeholders

Internal stakeholders are groups or people who work directly within the business, such as managers, employees, and owners.

Managers and employees want to earn high wages and keep their jobs, so they have a vested interest in the financial health and success of the business.

Owners want to maximize the profit the business makes as compensation for the risks they take in owning or running a business.

External Stakeholders

External stakeholders are groups outside the business or people who do not work inside the business but are affected in some way by the decisions of the business. External stakeholders can include:

- Customers
- Shareholders
- Creditors
- Federal, state, and local governments
- The local community
- Society
- Suppliers

External Forces

Learning Outcomes: External Forces

1.6: Identify the external forces that shape the business environment

- 1.6.1: List the external forces that affect businesses
- 1.6.2: Give examples of how various external forces affect the participants in a business and its functional areas

Understanding External Forces

…influence business activities



Economic Environment

After decades of growth and dominance, the US economy is now challenged by the developing economies of other nations.

Since the financial crisis of 2008, the US economy and businesses have struggled to recover from the greatest economic crisis since the Great Depression of the 1930s.

Thus far, the US economy has proven resilient, and since the Great Recession in 2008, progress has been made to stabilize the housing industry, maintain low and affordable interest rates, and provide additional incentives for businesses to open and/or expand.

Legal Environment

There is a minefield of regulations, laws, and liabilities that companies must cope with in order to stay in business.

Legal developments in our culture at large – for instance, the legalization of marijuana and same-sex marriage or the strengthening of privacy laws – can have an enormous impact on the ways companies do business. These legal developments can affect:

- What companies sell
- How their products are manufactured
- How their products are labeled
- How their products are marketed.

Competitive Environment

The competitive environment has intensified with the development of new technologies, the opening up of foreign markets, and the rise of consumer expectations.

Example: The local hardware store now finds itself competing with big box stores like Lowe's and Home Depot. Larger stores can often sell a product at a lower price and offer an online shopping option or same day delivery. It can be difficult for independent stores to compete with these features.

Staying competitive is a challenge for every business, and business owners are finding that benefits such as customer service, employee knowledge, and high quality can help them survive.

Technological Environment

Businesses are often driven to rethink the **business technology** (digital tools such as computers, telecommunications, and the internet) they use to reach customers, produce their products, and provide their services.

The expansion of internet access all over the world has forced many traditional brick-and-mortar businesses into **e-commerce** or online sales.

The advantage to businesses is that customers no longer have to live in proximity to their stores to purchase goods and services. The disadvantage to businesses is that consumers are also able to compare competitors' prices, benefits, features, and services.

Social Environment

The social environment of business encompasses the values, attitudes, beliefs, wants, and desires of the consuming public.

The demographics that describe the American population are changing: by 2050 the Hispanic and Asian populations in America are expected to double. At the same time, America is aging, and with the current median age at 36, it won't be long until the majority of America is ready to retire.

Corporate Social Responsibility (CSR) also compels businesses to be "good corporate citizens" by supporting charities, contributing to local communities, adhering to ethical standards, and adopting environmentally responsible practices.

Global Environment

Free trade among nations has allowed goods and services to flow across international borders more efficiently and cheaply.

Formal trade agreements among nations has forged unprecedented links and interdependence among economies.

It's not just the local economy or even the national economy that business must track – they must also keep an eye on the world economy in order to anticipate and adapt to changes that will impact their products and services.

Class Activity: Identifying External Stakeholders

- Identify a business with which everyone in the group is familiar. This can be a local business or a national chain.
- For the selected business, identify at least four external stakeholders. Be as specific as possible.
- For each external stakeholder, consider how it would be impacted by:
  - The rapid expansion of the business to include new markets or new products
  - A downturn in the economy that would negatively affect the company's revenues

Present: Identifying External Stakeholders

Class Discussion: Identifying External Stakeholders

- What did you learn from this activity?
- Did this change the way you view business in general?
- How can the health of a single business can have an impact on the larger community and economy?

Quick Review

- What is a business?
- What are the primary differences between a for-profit and a non-profit business?
- What factors of production sustain businesses?
- How do resources flow between businesses and households?
- What are the major business functions and what does each do?
- Define a business stakeholder.
- What external forces impact businesses?